

TERM LOAN AGREEMENT

This Term Loan Agreement ("Agreement") is made and entered into on 15 February 2024.

1. PARTIES

This Agreement is executed between:

Borrower:

Name: Rahul Sharma

Address: Flat No. 402, Sai Residency, Baner Road,
Pune, Maharashtra – 411045

Lender:

Name: HDFC Bank Limited

Registered Office: HDFC Bank House, Senapati Bapat Marg,
Lower Parel, Mumbai – 400013

2. PURPOSE OF LOAN

The Lender agrees to grant a Term Loan to the Borrower for the purpose of:

Business expansion

Working capital requirements

Equipment and infrastructure investment

The Borrower confirms that the loan shall not be used for any unlawful activity.

3. LOAN AMOUNT

Sanctioned Loan Amount: ₹50,00,000

(Rupees Fifty Lakh Only)

Loan Type: Secured Term Loan

4. DISBURSEMENT

The loan amount shall be disbursed:

In one or more tranches

Subject to completion of documentation

After satisfaction of credit conditions

5. INTEREST RATE & CALCULATION

Interest Rate: 11.25% per annum

Interest Type: Floating

Benchmark: RBI Repo Rate + Bank Margin

Interest shall be calculated on a daily reducing balance basis.

6. LOAN TENURE

Loan Duration: 5 Years (60 months)

Commencement Date: March 2024

Maturity Date: February 2029

7. REPAYMENT TERMS

EMI Amount: ₹1,08,000 (approx.)

Payment Frequency: Monthly

Due Date: 5th of every month

Payments shall be appropriated first towards interest, then principal.

8. SECURITY & COLLATERAL

To secure the loan, the Borrower agrees to provide:

Equitable mortgage of residential property

Hypothecation of movable business assets

Failure to maintain collateral value shall constitute default.

9. PREPAYMENT & FORECLOSURE

Partial prepayment allowed after 12 months

Prepayment Charges: 2% of outstanding principal

Foreclosure allowed with prior notice

10. FEES & CHARGES

Processing Fee: 1% of loan amount

Documentation Charges: As applicable

Penal Interest: 2% per month on overdue amounts

11. EVENTS OF DEFAULT

Any of the following shall constitute default:

- a) Failure to pay EMIs for 2 consecutive months
- b) Breach of loan covenants
- c) Insolvency or liquidation
- d) Misuse of loan funds

12. CONSEQUENCES OF DEFAULT

Upon default, the Lender may:

Recall the entire loan

Enforce security

Initiate legal proceedings

13. REPRESENTATIONS & WARRANTIES

The Borrower represents that:

All information provided is true and accurate

No litigation is pending

Borrower has legal capacity to enter this Agreement

14. COVENANTS

The Borrower agrees to:

Maintain financial discipline

Submit annual financial statements

Not create additional charge without consent

15. INDEMNITY

The Borrower shall indemnify the Lender against all losses, claims, and expenses arising from breach of this Agreement.

16. CONFIDENTIALITY

All loan-related information shall remain confidential unless disclosure is required by law.

17. GOVERNING LAW & JURISDICTION

This Agreement shall be governed by the laws of India, and courts at Mumbai shall have exclusive jurisdiction.

18. AMENDMENTS

Any amendment must be in writing and signed by both parties.

19. ENTIRE AGREEMENT

This Agreement constitutes the complete understanding between the parties.

20. SIGNATURES

Borrower Signature: _____

Name: Rahul Sharma

Date: ____ / ____ / 2024

Authorized Signatory (Lender): _____

Name: HDFC Bank Ltd.

Date: ____ / ____ / 2024

Witness 1: _____

Witness 2: _____